



Time: 5 minutes

Outcome: Analyze repeated games, credible commitments, entry deterrence, and sequential strategic choices.

Difficulty: Advanced

Dynamic Strategy: Repeated Games, Credibility & Entry Deterrence

THE CORE IDEA

In a sequential game, one player acts before another. Work backward from the last decision: identify the action that the later player will actually prefer, then use that response to evaluate the first move. A threat is credible only if carrying it out would be worthwhile when the decision arrives. Repeated interaction can make future consequences matter, but no present-value calculation is needed here.

HOW TO RECOGNIZE IT

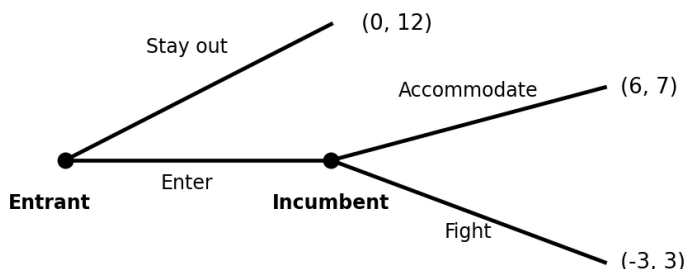
- Determine whether firms interact once or expect to meet again.
- Compare the immediate gain from cheating or entering with future losses from retaliation.
- A threat affects behavior only when carrying it out would be credible.
- Longer relationships, patience, and observable actions make cooperative outcomes easier to sustain.

WATCH OUT

A threatened response is not automatically credible. Compare the later player's payoffs at the decision point before using the threat to predict the first move.

WORKED EXAMPLE: TESTING A CREDIBLE THREAT

Payoff order: (Entrant, Incumbent)



The game tree is solved backward. If entry occurs, the incumbent receives 7 by accommodating and 3 by fighting, so accommodation is the credible response on that branch. Anticipating it, the entrant compares 6 from entering with 0 from staying out and enters. The backward-induction outcome is Enter, then Accommodate.

CHECK YOURSELF

After entry, why will the incumbent accommodate rather than fight, and how does that affect the entrant's first decision?